# Enterprise Development Grant (EDG) — SMF Advisory Note

*Internal advisory note for SMF member-facing officers. Summarised from Enterprise Singapore's published scheme page. Not legal or financial advice; final determination rests with EnterpriseSG.*

## Overview

The Enterprise Development Grant (EDG) is Enterprise Singapore's (EnterpriseSG) flagship project-based grant for Singapore-registered companies undertaking projects to upgrade, innovate, grow or transform the business. Unlike the Productivity Solutions Grant (PSG), which reimburses pre-approved off-the-shelf solutions, EDG funds **bespoke, individually-assessed projects** with a written project proposal, defined deliverables and measurable outcomes.

For SMF members in precision engineering, metal fabrication, electronics and food manufacturing, EDG is typically the right instrument when a project is larger than a single software licence — for example integrating a new MES with existing CNC equipment, developing a new product line, adopting a new international standard, or building a sustainability roadmap.

**IMPORTANT — scheme consolidation.** EnterpriseSG has announced that from **2H 2026** a new grant called **EDGE** will streamline EDG, PSG and MRA into a single scheme. EnterpriseSG's current statement is: *"EDGE launches in 2H2026. Existing grants (EDG, MRA, PSG) remain accessible until launch."* Members with projects in the pipeline should be advised of this transition. See `grant_edge_upcoming.md`.

## What It Funds

EDG funds qualifying project costs in three cost categories: **third-party consultancy fees, software and equipment, and internal manpower cost**.

Projects fall under three pillars:

**1. Core Capabilities** — Business Strategy Development; Financial Management; Human Capital Development; Service Excellence; Strategic Brand and Marketing Development.

**2. Innovation & Productivity** — Automation; Process Redesign; Product Development. This is the pillar most SMF manufacturing members use.

**3. Market Access** — Pilot Project and Test Bedding; Standards Adoption.

Notable exclusions our advisors are asked about most often:

- Equipment and software costs **already supported under PSG** are not eligible under EDG Automation.
- Everyday office equipment (copiers, laptops, tablets, mobile phones) is excluded.
- Replacement of faulty equipment, or like-for-like replacement with no new capability or resource-efficiency gain, is excluded.
- Off-the-shelf conventional installations (e.g. LED lighting, solar panels) are excluded under Automation.
- **Basic standards such as ISO 9001, SS 506, SS 444 and ISO 45001 are NOT supported** under Standards Adoption, nor are annual surveillance/recertification costs.
- Under Product Development, the **development of a company's first product is excluded**.
- Marketing collateral production, PR campaign execution, SEO/SEM and influencer engagement are excluded under Brand & Marketing.

## Eligibility

- Business entity registered and operating in Singapore.
- At least **30% local equity** held directly or indirectly by Singapore Citizens and/or PRs, determined by ultimate individual ownership.

- Company is **financially ready** to start and complete the project. EnterpriseSG uses common financial indicators such as the current ratio.
- Projects must be **new and not yet commenced**, and must not be generating revenue at the point of application.

A project is treated as having commenced if, before the application date, the applicant started work, made payment to a third party who is part of the application, or signed a contractual agreement with such a third party.

Note: there is **no published turnover or headcount cap** on the EDG eligibility list itself (unlike PSG and MRA). However, support levels differ between SMEs and non-SMEs.

## Funding Support

- **Up to 50% of eligible costs for local SMEs**, with effect from 1 April 2023.
- **Up to 30% for non-SMEs** (stated in EnterpriseSG's EDG FAQ).
- **Up to 70%** for sustainability-related projects, where the enhanced support period has been extended under the Enterprise Sustainability Programme. *Caveat: EnterpriseSG's Enterprise Sustainability Programme page does not restate the 70% figure or an end date — confirm the applicable rate with EnterpriseSG before quoting it to a member.* ***TO VERIFY: end date of the 70% sustainability rate.***
- Investment Allowance (IA) of 100% may be layered on large-scale automation deployments, net of grant, with approved capex capped at **S$10 million per project**. EnterpriseSG's page states IA was extended to 31 March 2026 (Budget 2023). **TO VERIFY: whether IA has been further extended beyond 31 March 2026.**

EDG is disbursed on a **reimbursement basis**. Claims must reach EnterpriseSG no later than **six months** from the end of the project qualifying period.

## How to Apply

1. Identify the project category. There are **no pre-approved vendors** for EDG.
2. If claiming management consultancy costs, engage consultants holding **Singapore Accreditation Council-accredited TR 43 or SS 680** certification (RMC via IMCS, PMC/SPMC via SBACC, or SCMC via TÜV SÜD PSB). Exemptions apply for non-management-consultancy specialists (market research, audit, fieldwork, design, equipment installation, legal drafting) and for technology/solution vendors.
3. Prepare mandatory documents: ACRA search dated within 6 months; audited financial statements or certified management accounts for the last FY; group consolidated statements if applicable; the project proposal (EnterpriseSG publishes templates per pillar); and quotations.
4. Provide three-year post-project projections for revenue, staff remuneration, depreciation, net operating profit before tax, and worker impact (wages, jobs created, job redesign, training) for Singaporeans/PRs.
5. Submit on the **Business Grants Portal (BGP)** at apply.gov.sg/grants/business using Corppass. **Third parties may not apply or manage the grant on the company's behalf.**
6. Processing takes approximately **8–12 weeks** for a complete application.
7. At final claim, appoint an auditor from EnterpriseSG's Pre-Qualified Panel and submit via BGP. Disbursement via PayNow Corporate takes ~14 working days after claim approval; GIRO can take up to eight weeks.

## Common Pitfalls

- **Starting the project before applying.** The single most common rejection cause. Signing the vendor contract counts as commencement.
- **Using a non-certified management consultant.** Members frequently engage a familiar consultant without TR 43 / SS 680 certification and only discover this at claim stage.
- **Double-dipping with PSG.** Items on the PSG pre-approved list cannot be claimed under EDG.
- **Applying for ISO 9001 certification costs.** Basic standards are explicitly excluded.
- **Paying a "grant agent".** EnterpriseSG states there are no compulsory application fees for its schemes and that fees quoted by grant-application firms are not government-endorsed. Third-party management of the application is not permitted.

- **Weak outcome metrics.** EDG is assessed on project scope, outcomes and service provider competency — vague productivity claims are a common cause of clarification loops.
- **Underestimating the timeline.** 8–12 weeks assessment plus reimbursement-only disbursement means the member must fund the project from cashflow first.

## Source & Last Verified

- Primary source: https://www.enterprisesg.gov.sg/financial-support/enterprise-development-grant
- Supporting: EnterpriseSG EDG FAQ, https://www.enterprisesg.gov.sg/resources/all-faqs/enterprise-development-grant
- Business Refresh Package factsheet (Mar 2026): https://www.enterprisesg.gov.sg/-/media/esg/files/media-centre/media-releases/2026/march/mr00826_business-refresh-package.pdf
- **Last verified: 26 July 2026.** EnterpriseSG's own page carries a broken "Last updated" placeholder, so the page's internal revision date could not be captured.